Compensation, Payroll & Grading Policy

Salary structure, job grades and pay bands, allowances, payroll dates, overtime, bonus and salary review.

Document ID	Version	Effective date	Policy owner	Applies to
ERX-HR-004	2.3	01 Jan 2026	People & Culture with Finance	All employees

1. Pay philosophy

Erpoxa aims to pay at the 50th to 65th percentile of the Saudi IT services market, reward high performance through variable pay, and keep pay decisions transparent and fair. Salaries are reviewed once a year.

2. Salary structure

Monthly gross salary is made of the components below. Gross = basic + housing (25% of basic) + transport (10% of basic) + mobile allowance, so basic is roughly 74% of gross.

Component	Value	Notes
Basic salary	approx. 74% of gross	Used for GOSI and end-of-service calculations
Housing allowance	25% of basic	Paid monthly
Transportation allowance	10% of basic	Paid monthly
Mobile allowance	SAR 200 - 500 by grade	Paid monthly
Client-site allowance	SAR 75 per day on site outside home city	Claimed via timesheet
Shift / on-call allowance	SAR 300 per on-call week	Support team only

3. Job grades and pay bands (monthly gross, SAR, sample data)

Grade	Example roles	Minimum	Midpoint	Maximum
G1	Intern, Office Assistant	4,000	5,000	6,000
G2	Junior Developer, Junior Consultant, HR Coordinator	7,000	8,750	10,500
G3	Developer, Functional Consultant, Accountant	10,500	13,000	15,500
G4	Senior Developer, Senior Consultant, Team Lead	15,500	19,000	22,500
G5	Project Manager, Solution Architect, Manager	22,500	27,500	32,500

Grade	Example roles	Minimum	Midpoint	Maximum
G6	Senior Manager, Department Head	32,500	40,000	47,500
G7	Director / VP	47,500	57,500	70,000
G8	C-level	Board approved	-	-

4. Payroll calendar

- Salaries are paid monthly through the Wage Protection System (WPS) on the 27th of each month. If the 27th is a weekend or holiday, payment is made on the previous working day.
- Payroll cut-off for changes (new joiners, overtime, deductions, expenses): the 20th of the month. Items after cut-off go into the next month.
- Payslips are available in the Odoo Employees app (My Profile > Payslips) by the 26th.
- Payroll queries must be raised within 30 days to payroll@erpoxa.com.

5. Statutory deductions

- GOSI (Saudi nationals): employee contribution as per GOSI regulations on basic + housing; employer contributes its share.
- GOSI (non-Saudi): occupational hazards contribution paid fully by employer.
- Unpaid leave, unauthorised absence and approved salary advances are deducted from salary.
- Total deductions in any month cannot exceed 50% of the employee's wage, in line with labour law.

6. Overtime

Only employees in grades G1 to G3 are eligible for paid overtime. G4 and above receive compensatory time off instead.

Overtime type	Rate
Weekday beyond 8 hours	Hourly basic rate x 1.5 + hourly gross rate
Weekend (Friday/Saturday)	As above, or 1 compensatory day per day worked
Public holiday	As above plus 1 compensatory day
Monthly cap	Maximum 40 overtime hours per month without CPO approval

7. Variable pay and bonuses

- Annual performance bonus: target 1 month of gross salary (grades G2-G5), 2 months (G6-G7). Multiplier based on rating: Outstanding 1.5x, Exceeds 1.2x, Meets 1.0x, Partially Meets 0.5x, Below 0x. Paid in March, subject to company results.
- Project delivery bonus: SAR 2,000 - 10,000 per team member for projects delivered on time, within budget and with client satisfaction score of 4.5/5 or more.
- Sales commission: governed by the separate Sales Incentive Plan.

- Referral bonus: SAR 3,000 (G2-G3 hire) or SAR 6,000 (G4+ hire), paid after the new hire completes probation.
- Certification bonus: SAR 1,500 for passing the official Odoo Functional or Technical Certification.

8. Annual salary review

Salary increments take effect on 1 April each year based on the year-end appraisal and the approved budget. Guideline merit matrix (2026 budget 5%): Outstanding 8-12%, Exceeds 5-8%, Meets 3-5%, Partially Meets 0-2%, Below 0%. Employees who joined after 1 October are reviewed in the following cycle.

9. Salary advance and loans

- Salary advance: up to 1 month basic salary, once per year, recovered over a maximum of 6 months. Apply via Odoo Approvals.
- Not available during probation or notice period.

10. Pay confidentiality

Individual salaries are confidential between the employee, the manager, HR and Finance. Employees may discuss their own pay, but managers and HR staff must not disclose others' salaries.